ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 06 - THE MILLION DOLLAR SWING SETUP

Welcome to lesson eight of the Swing trading module, focusing on 'The Million Dollar Swing Setup'. This title signifies the best conditions found in technical tools that warrant the greatest study and focus. It does not imply earning a million dollars, but rather identifies scenarios that bode well for seeking opportunities when they present themselves.

THE MILLION DOLLAR SWING SETUP FRAMEWORK

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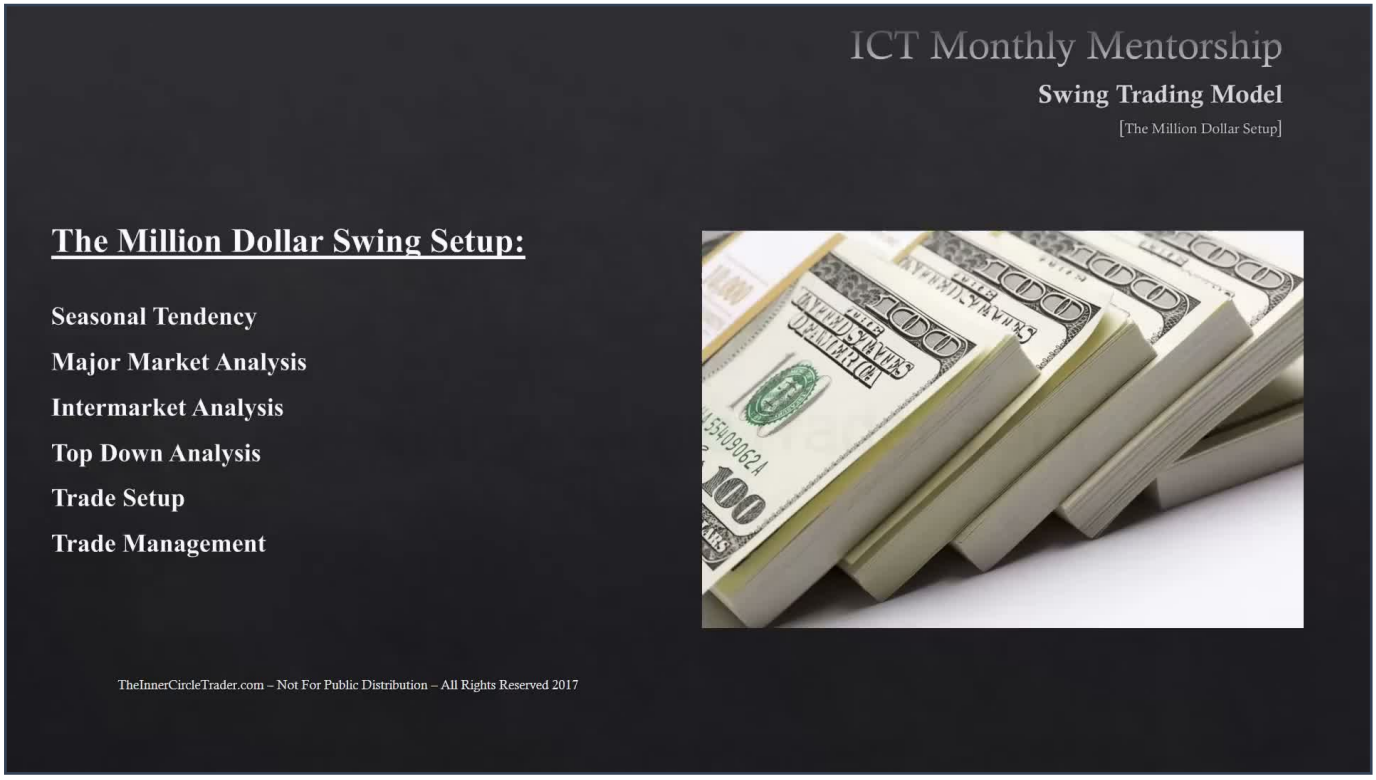

The framework for the Million Dollar Swing Setup is approached in a specific order:

- Seasonal Tendency

- Major Market Analysis

- Intermarket Analysis

- Top Down Analysis

- Trade Setup

- Trade Management

STEP 1: SEASONAL TENDENCY ANALYSIS - THE INITIAL MINDSET

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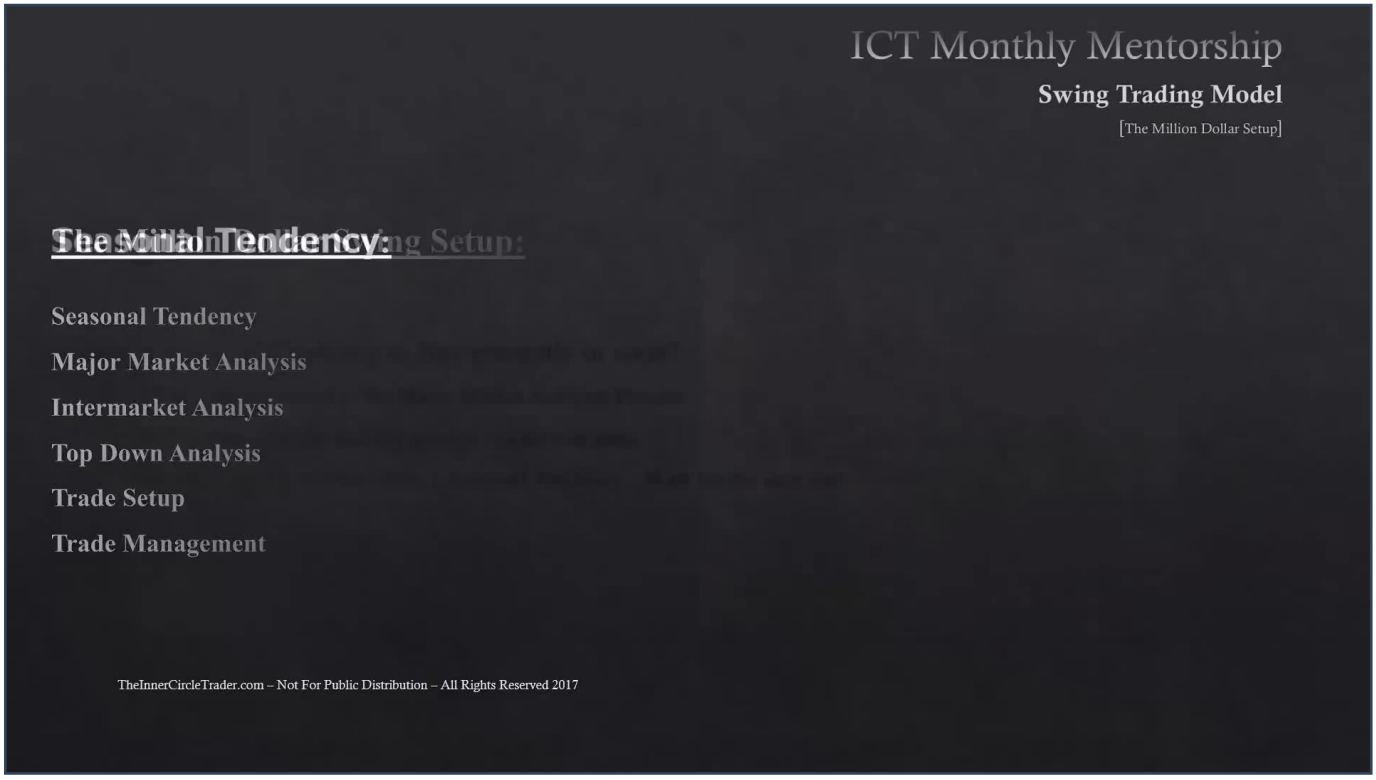


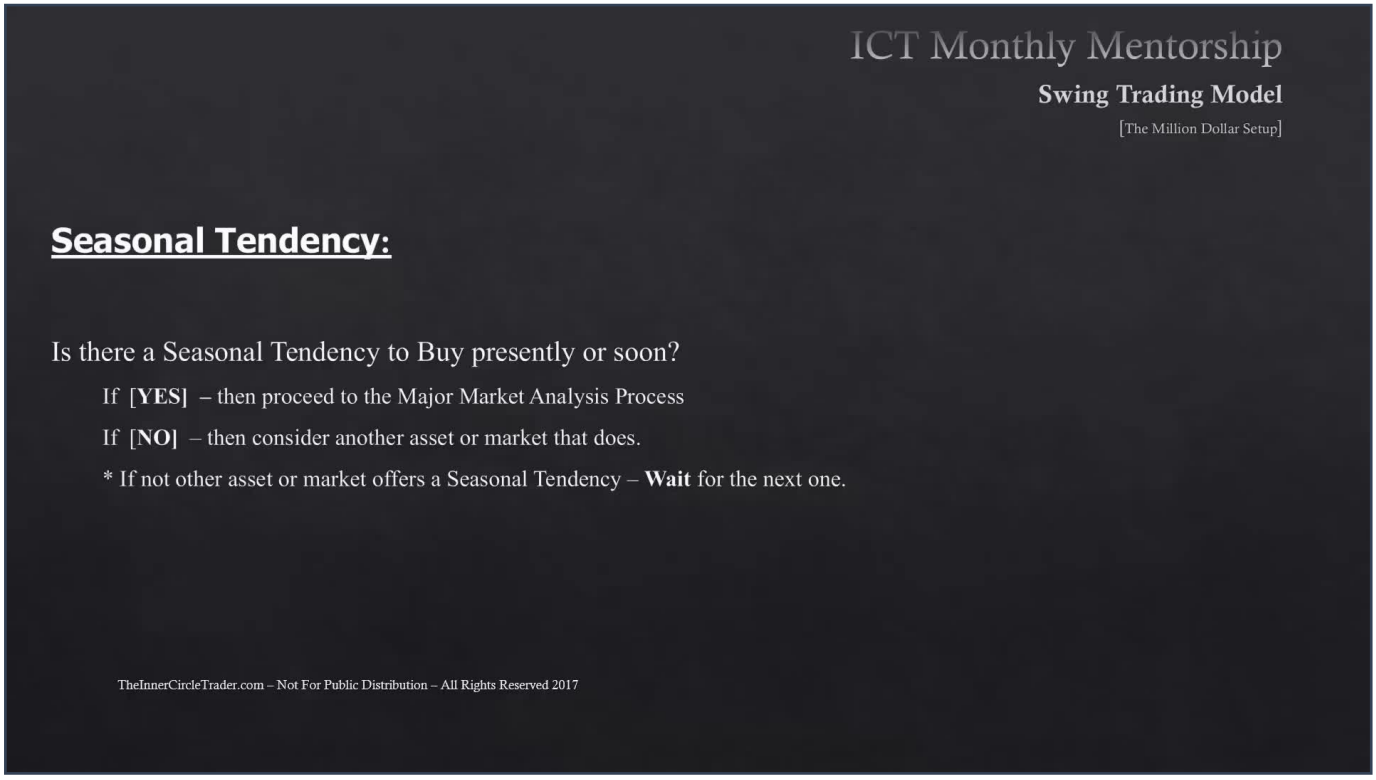
This teaching emphasizes the thought process involved. The first question to ask is:

- Is there a seasonal tendency to buy presently or will there be soon?

- If the answer is 'yes', proceed to the Major Market Analysis process.

- If the answer is 'no', consider another asset or market that does.

- If there is no asset class or market offering a seasonal tendency, wait for a new one. This means no swing trades are taken.



A swing trade cannot be taken without a seasonal tendency. While many swings occur throughout the year, only those aligned with a seasonal tendency are considered for this setup.

- The 'million-dollar setup' is based on historical evidence of consistent repetition, not just occasional occurrences.

STEP 2: MAJOR MARKET ANALYSIS - INTEREST RATE & CURRENCY FILTER

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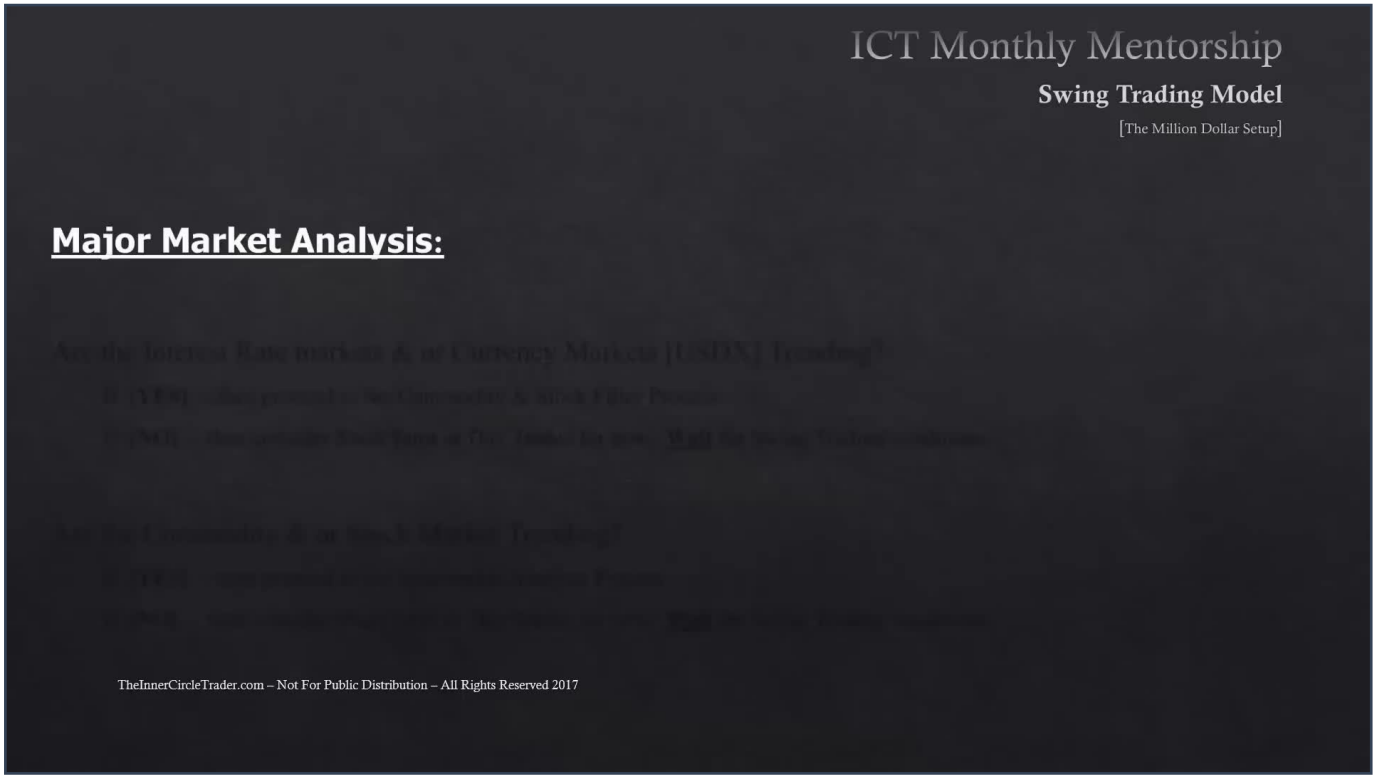

Once cleared for a seasonal tendency, the next step is Major Market Analysis.

- Question: Are the interest rate markets and/or currency markets (specifically the Dollar Index) trending?

- If the answer is 'yes', proceed to the Commodity and Stock Filter process.

- If the answer is 'no', consider short-term or day trades for now and wait for swing trade conditions.

- This process provides context, allowing for engagement in lower timeframe trading if swing trade conditions are not met.

MAJOR MARKET ANALYSIS - COMMODITY & STOCK FILTER

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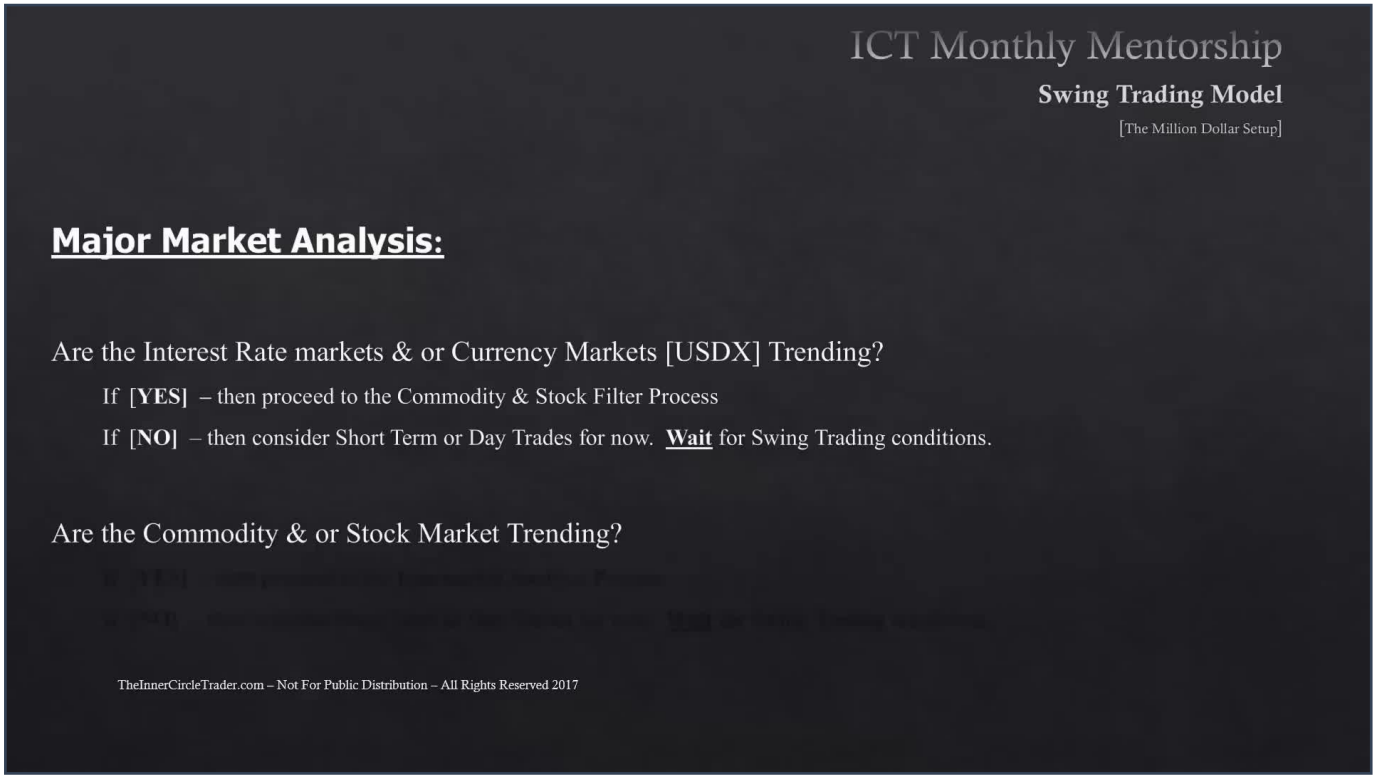

Following the Interest Rate & Currency Filter:

- Question: Are the commodity and/or stock markets trending?

- If 'yes', proceed to the Intermarket Analysis phase.

- If 'no', consider short-term or day trades for now and wait for swing trade conditions.

- Agreement: Both groups of markets (Interest Rates/Currencies AND Commodities/Stocks) must show trending conditions. You need at least one trending market from each group (e.g., Interest Rate markets trending and Stock markets trending, or Commodities trending and Currencies trending).

STEP 3: INTERMARKET ANALYSIS - BULLISH FOREIGN CURRENCY/METAL SETUP (COT HEDGING)

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This phase is for foreign currency, metal, or swing trade setups, focusing on the COT (Commitment of Traders) Hedging program.

- Question: Are Commercials buying or selling currently? (Reference the zero-basis line derived from the last 12 months).

- If they are 'buying': Proceed to the Correlation Analysis process.

- If they are 'selling': Consider short-term or day trades for now; wait for swing trading conditions.

- Explanation of 'Buying': This means Commercials are lessening their short positions (if below the zero line on the net Trader position graph) or are net long (if above the zero line). Analyze their hedging program based on their 12-month net position range. If they've moved to a buying side within this context, proceed.

INTERMARKET ANALYSIS - BULLISH FOREIGN CURRENCY/METAL (CORRELATION ANALYSIS)

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Continuing the bullish foreign currency/metal analysis:

- Question: Is the Dollar Index supporting bearish price action for the US Dollar?

- If 'yes': Proceed to the Commodity Filter process.

- If 'no': Consider short-term or day trades for now; wait for swing trade conditions.

- Reiteration: For a bullish outlook on foreign currencies or metals, the Dollar Index should be indicating a tendency to trade lower, signifying bearish prices (SMT Divergence against the metal or foreign currency).

INTERMARKET ANALYSIS - BULLISH FOREIGN CURRENCY/METAL (COMMODITY FILTER)

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Next, the commodity filter:

- Question: Are Commodities rallying higher, breaking old highs, or rejecting old lows (i.e., finding support and breaking through resistance levels)?

- If 'yes': Proceed to the Open Interest Filter process.

- If 'no': Consider short-term or day trades for now; wait for swing trade conditions.

- Normal Market Condition: Bullish commodities with a bearish Dollar Index represent a normal metrical market condition.

INTERMARKET ANALYSIS - BULLISH FOREIGN CURRENCY/METAL (OPEN INTEREST FILTER)

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The final filter for a bullish foreign currency/metal setup:

- Question: Is open interest dropping, or has it dropped 10-15% or more?

- Indication: This signifies commercial short covering.

- Resource: Open interest data can be obtained from barchart.com.

- If 'yes': Proceed to the Top Down Analysis process.

- If 'no': Consider short-term or day trades for now; wait for swing trade conditions.

INTERMARKET ANALYSIS - BEARISH FOREIGN CURRENCY/METAL SETUP (COT HEDGING)

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For bearish swing trade setups in foreign currencies and metals, review the COT Hedging program (commercial traders' net position range over the last 12 months).

- Question: Are Commercial Traders buying or selling currently?

- If 'selling' (or holding a net short position): Proceed to the Correlation Analysis process.

- If 'buying' (or net long): Consider short-term or day trades for now; wait for swing trade conditions.

INTERMARKET ANALYSIS - BEARISH FOREIGN CURRENCY/METAL (CORRELATION ANALYSIS)

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Continuing the bearish foreign currency/metal analysis:

- Question: Is the Dollar Index supporting bullish price action for the US Dollar?

- If 'yes': Proceed to the Commodity Filter process.

- If 'no': Consider short-term or day trades for now; wait for swing trade conditions.

INTERMARKET ANALYSIS - BEARISH FOREIGN CURRENCY/METAL (COMMODITY FILTER)

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Next, the commodity filter for a bearish setup:

- Question: Are Commodities dropping lower, breaking old lows, and rejecting old highs?

- If 'yes': Proceed to the Open Interest Filter process.

- If 'no': Consider short-term or day trades for now; wait for swing trade conditions.

INTERMARKET ANALYSIS - BEARISH FOREIGN CURRENCY/METAL (OPEN INTEREST FILTER)

00:11:55,680

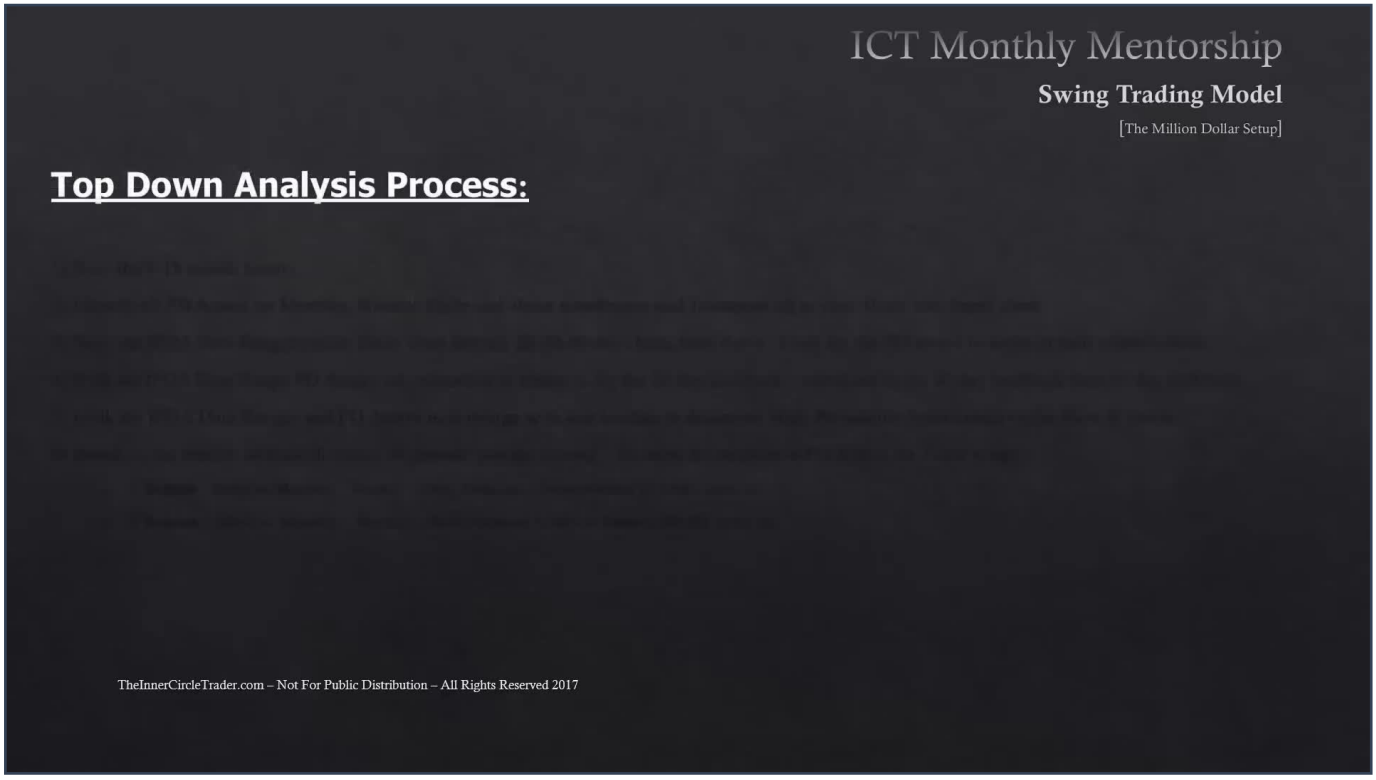
The final filter for a bearish foreign currency/metal setup:

- Question: Is open interest rising, or has it increased 10-15% or more?

- Indication: This signifies commercial short selling.

- If 'yes': Proceed to the Top Down Analysis process.

- If 'no': Consider short-term or day trades for now; wait for swing trade conditions.



This stage involves detailed chart analysis:

- Note the 9 to 18-month history of price action.

- Identify all PD (Price Delivery) Arrays on Monthly, Weekly, Daily, and 4-Hour timeframes. Transpose all these levels to your 4-Hour timeframe chart.

- Note the EPA (Economic Price Action) data ranges on the Daily chart that are 20, 40, and 60 days back from today. Look for PD Arrays to assist in their identification.

- If all EPA data range PD Arrays are exhausted or traded to for the 20-day look back, move out to the 40-day look back, then to the 60-day look back.

- Look for the IED (Institutional Entry Divergence) data ranges and PD Arrays to converge with one another to determine high-probability institutional order flow and levels.

- Based on the bullish or bearish stance (premise) you are trading, focus on the respective PD Arrays for trade setups:

  - If bullish: Focus on Monthly, Weekly, Daily Discount Arrays to frame a long entry.

  - If bearish: Focus on Monthly, Weekly, Daily Premium Arrays to frame a short entry.

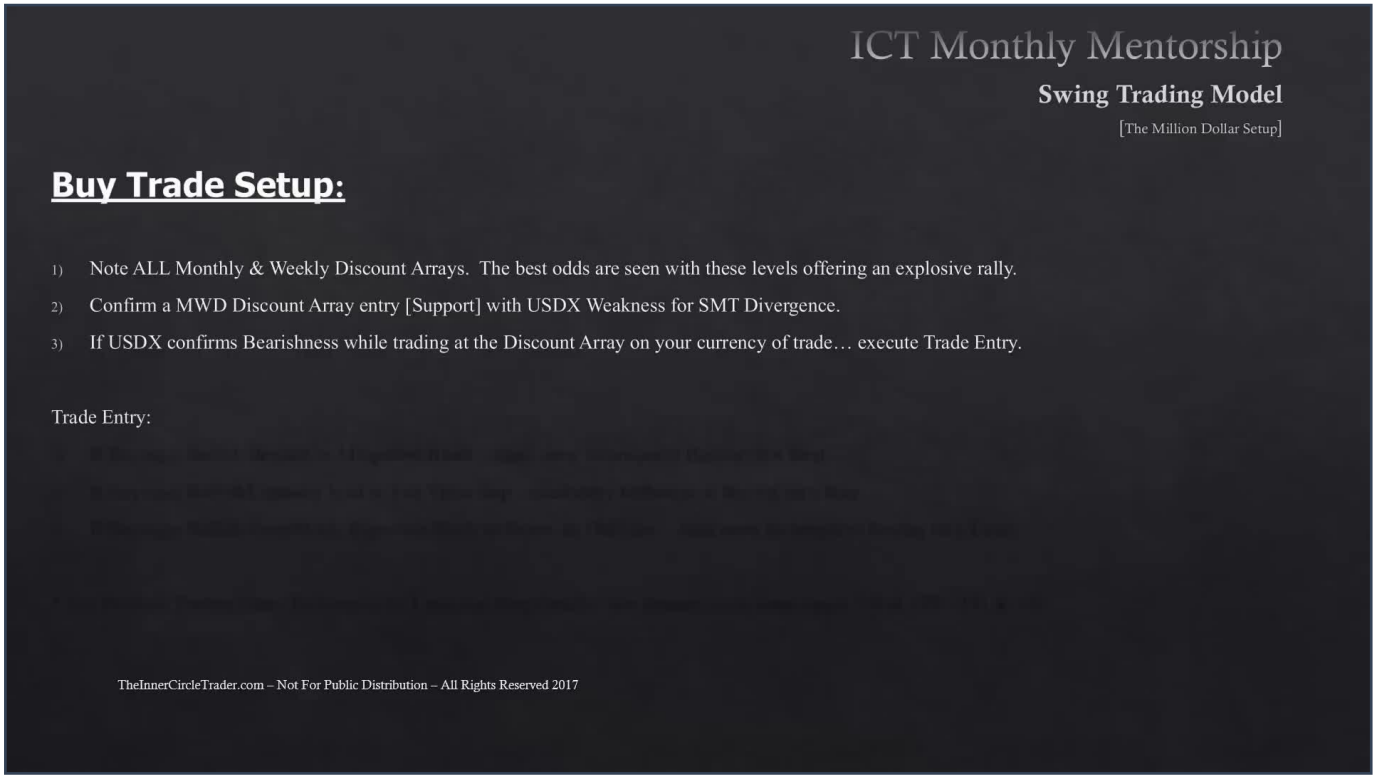
To setup a buy trade:

- Note all Monthly and Weekly Discount Arrays. The best odds are seen when these levels offer an explosive rally.

- Confirm a Monthly, Weekly, Daily Discount Array entry.

- Look for support for Dollar Index weakness for SMT Divergence.

- Execute trade if the Dollar Index confirms bearishness while your currency of trade or metal is trading at a discount array.



Specific entry techniques for buying:

- If buying a bullish breaker or mitigation block: The ideal entry technique is buying on a stop.

- If buying on a bullish liquidity void or fair value gap: The ideal entry technique is buying on a stop.

- If buying on a bullish order block, rejection block, or below an old low: The ideal entry technique is buying on a limit.

- Reference: Use position trading entry techniques for limit and stop orders (see January study notes Pages 128, 129, 141, and 142).

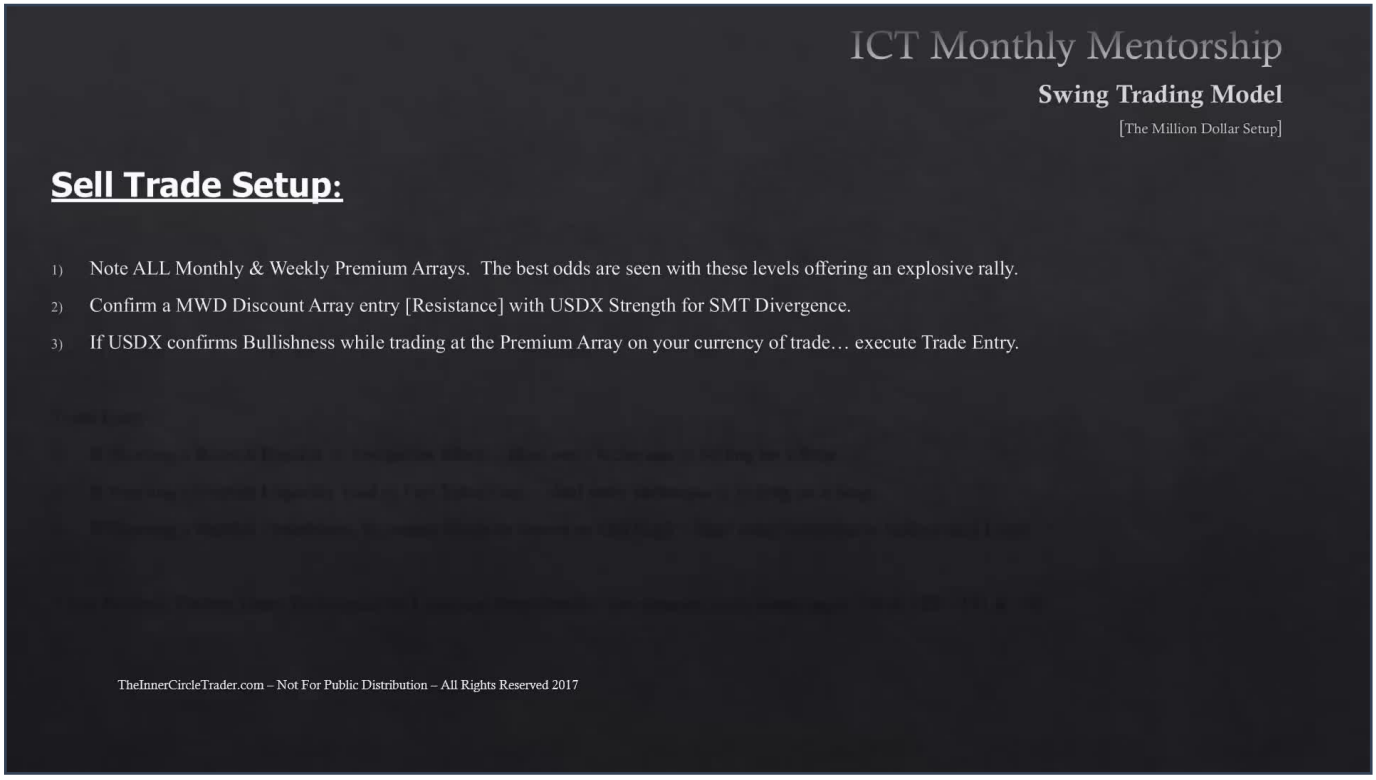
To setup a sell trade:

- Note all Monthly, Weekly Premium Arrays. The best odds are seen in these levels offering an explosive rally lower.

- Confirm a Monthly, Weekly, Daily Premium Array entry at resistance.

- Look for Dollar Index strength for SMT Divergence.

- Execute trade if the Dollar Index confirms bullishness while your currency or metal of trade is trading at the premium array.



Specific entry techniques for selling:

- If shorting a bearish breaker or mitigation block: The ideal entry technique is selling on a stop.

- If shorting a bearish liquidity void or fair value gap: The ideal entry technique is selling on a stop.

- If shorting a bearish order block, rejection block, or above an old high: The ideal entry technique is selling on a limit.

- Reference: Use position trading entry techniques for limit and stop orders (see January study notes Pages 128, 129, 141, and 142).

Managing a buy trade:

- Look for contrary Monthly, Weekly, Daily Premium Arrays to reach for while long, if applicable.

- Look for FIB extension confluences with Premium Arrays.

- Leave stop loss from initial placement until price has moved 1/3 of your intended trade direction.

- If trade moves in your favor 1/4 of your intended objective, take something off in profit (use 20-30% for scaling first profit).

- Move protective stop loss to break even after first profit is taken, never before.

- When trade moves to 50% of your intended objective, look for new buying opportunities to add back the 1/4 taken off after a short-term decline.

- Take full position off at intended Premium Array objective or 75-80% and trail stop loss below the most recent 4-Hour short-term low.

- Be mindful the market can and will likely make a run for sell stops at or just above 50% of the range you hold through. Don't rush trailing the stop loss.

- If stopped out, reconsider the original reasons for the trade. If they're still valid, re-enter at a new Monthly, Weekly, or Daily Discount Array.

Managing a sell trade:

- Look for contrary Monthly, Weekly, Daily Discount Arrays to reach for while short, if applicable.

- Look for FIB extension confluences for Discount Arrays.

- Leave stop loss from initial placement until price has moved 1/3 of your intended trade direction.

- If trade moves in your favor 1/4 of your intended objective, take something off in profit (use 20-30% for scaling first profit).

- Move protective stop loss to break even after first profit is taken, never before.

- When trade moves to 50% of your intended objective, look for new shorting opportunities to add back the 1/4 taken off after a short-term bounce.

- Take full position off at intended Discount Array objective or 75-80% and trail stop loss above the most recent 4-Hour short-term high.

- Be mindful the market can and will likely make a run for buy stops at or just below 50% of the range you hold through. Don't rush stop trailing.

- If stopped out, reconsider the original reasons for the trade. If still valid, re-enter at new Monthly, Weekly, Daily Premium Array.

EXAMPLE: GOLD - SEASONAL TENDENCY CONFIRMATION (DECEMBER-MARCH RALLY)

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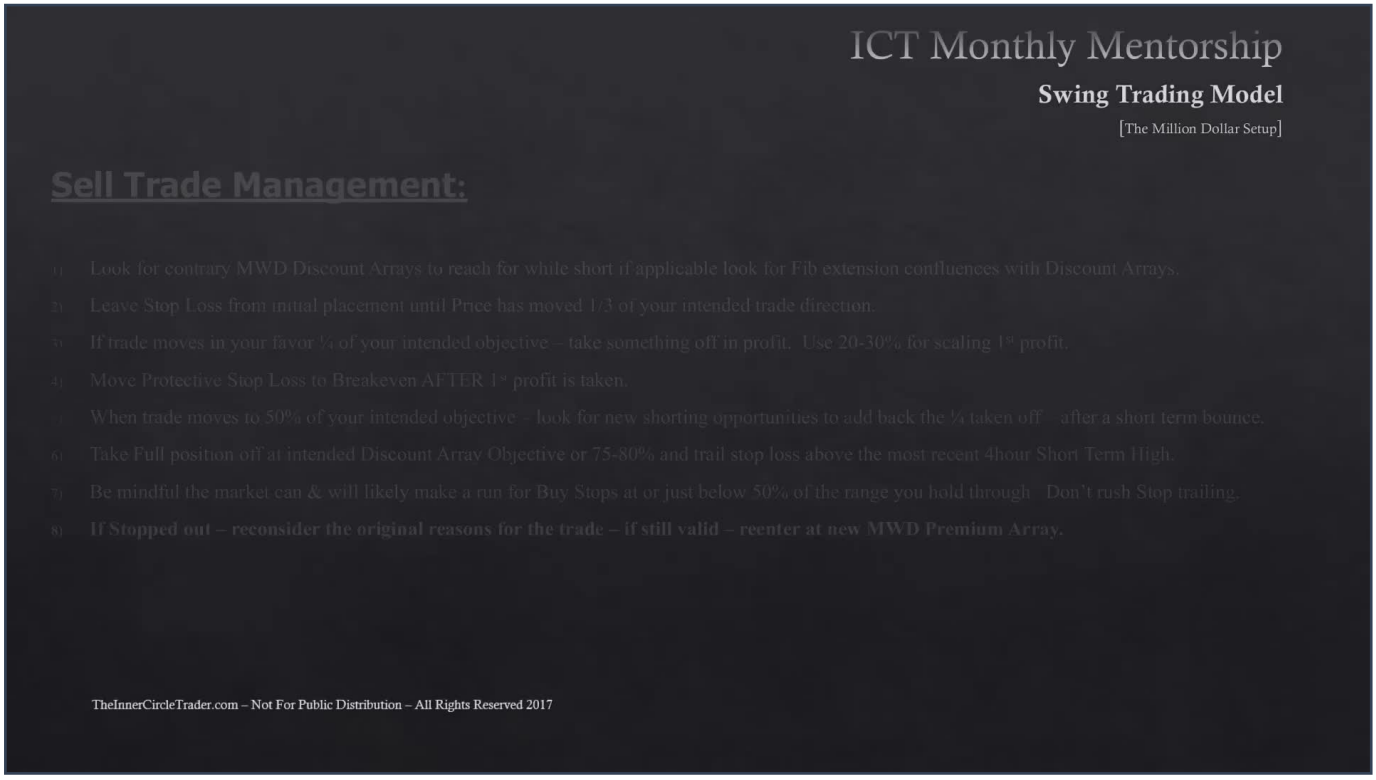

For the Million Dollar Swing Setup, Gold serves as an example. The seasonal tendency observed and used in the mentorship focuses on a strong rally for gold:

- From December into January.

- Continuing from January into February, and potentially early March.

- This is referenced using calendar months, not contract delivery months.

EXAMPLE: GOLD - MAJOR MARKET ANALYSIS CONFIRMATION (DECEMBER 2016)

In late 2016, leading into December, the major market analysis confirmed favorable conditions:

- The bond markets were trending.

- The Dollar Index was trending.

- The CRB (Commodity Research Bureau) Index was flat.

- The stock market was trending.

- Conclusion: The market was in a favorable condition for swing trading Gold.

EXAMPLE: GOLD - INTERMARKET ANALYSIS CONFIRMATION (COMMERCIALS & SENTIMENT)

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Analyzing the Commercials' activity and market sentiment:

- Commercials (red line on COT chart): In December 2016, they moved into a buying condition, showing aggressive hedging and lessening of shorts, indicated by the red line rising within the 12-month green shaded range.

- Williams Percent R: Was in an oversold condition, signifying extremely bearish sentiment.

- These conditions (commercial buying/lessening shorts + oversold sentiment) aligned for a potential long trade.

EXAMPLE: GOLD - OPEN INTEREST & SMT DIVERGENCE CONFIRMATION

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Further intermarket analysis provided confirmation:

- Open Interest (purple line): Declined aggressively, exceeding 100 contracts, indicating commercial short covering.

- Dollar Index Confirmation: In mid-December leading into January, Gold was observed failing to make lower lows at a major support level (around 1142). Simultaneously, the Dollar Index showed a willingness to go higher, confirming the necessary SMT Divergence for Gold to rally.

EXAMPLE: GOLD - COMMODITY FILTER CONFIRMATION

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A brief look at other commodities (November-January) showed bullish undertones:

- Soybeans: Took out short-term highs, consistently rejecting lows, indicating bullishness.

- High-Grade Copper: Was bullish, refusing to move lower.

- Crude Oil: Made a higher low going into December, easily taking out short-term highs and rejecting the short-term low made in November.

- Live Cattle: Failed to make lower lows, easily taking out short-term highs.

- Conclusion: Commodities as a whole were bullish, further supporting the Gold long setup.

EXAMPLE: GOLD - TOP DOWN ANALYSIS (KEY PD ARRAYS AND LEVELS)

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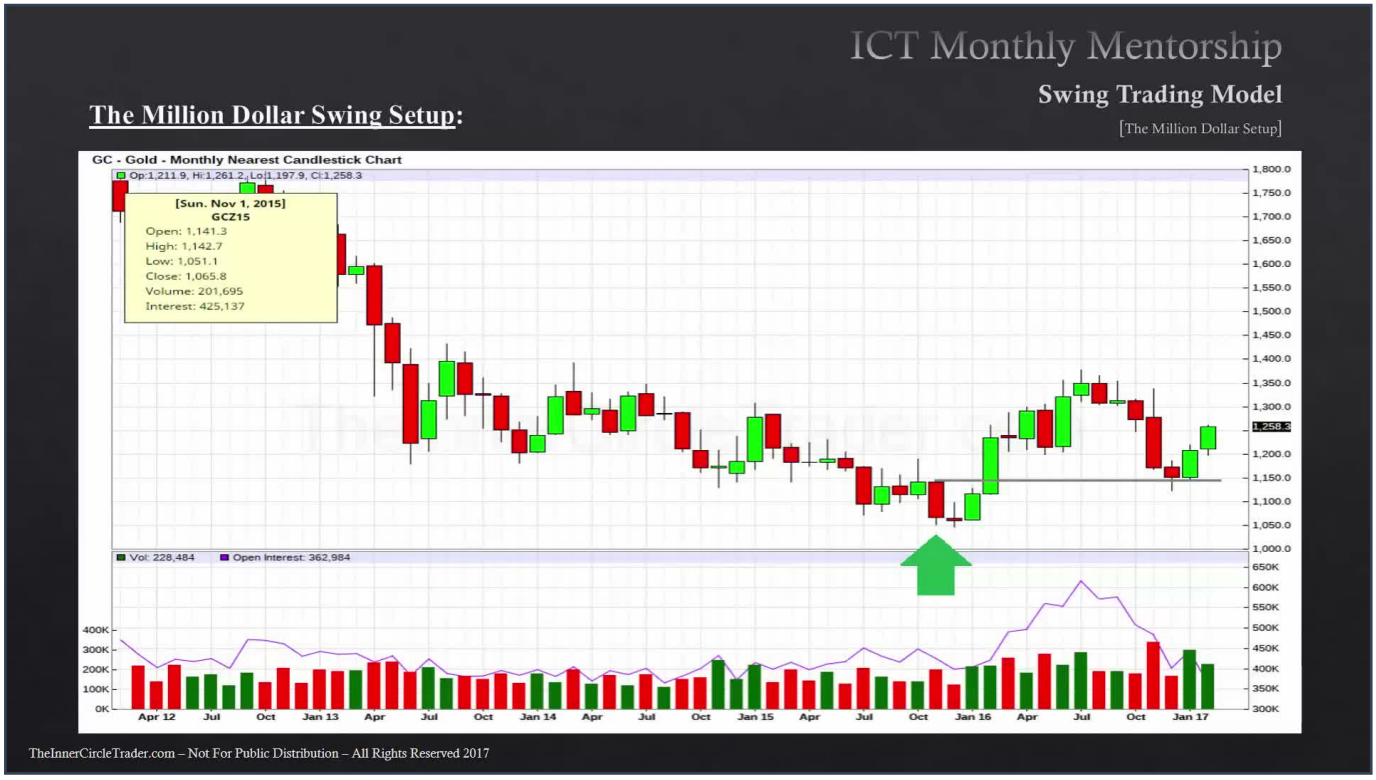

Identifying crucial price levels and PD Arrays:

- A key monthly bullish order block was identified at 1142 (the last down candle before the up move in November 2015), showing significant displacement into 2016.

- A refined objective for a long trade was projected around 1250-1260, correlating with a weekly PD array from the October 17, 2016 candle.

- The 1200 level, an old low from May 1st, 2016, was noted as a potential equilibrium point.

EXAMPLE: GOLD - PRICE SWING DYNAMICS (EQUILIBRIUM & STOP RUN ANTICIPATION)

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Analyzing the expected price movement:

- The objective/support was the monthly order block at 1142, with a range projection up to the weekly PD array of 1255-1260.

- The midway point or equilibrium for this range was identified at the 1200 level.

- Once the equilibrium price point is breached to the upside, it's expected and anticipated that a stop run will occur to take out sell stops below the marketplace.

- The second leg of the price action, moving towards the final objective (1255-1260), typically does not see another significant stop run until reaching the last quarter or third of the overall price move.

EXAMPLE: GOLD - RETRACEMENT, ORDER BLOCKS, AND FIBONACCI CONFLUENCE

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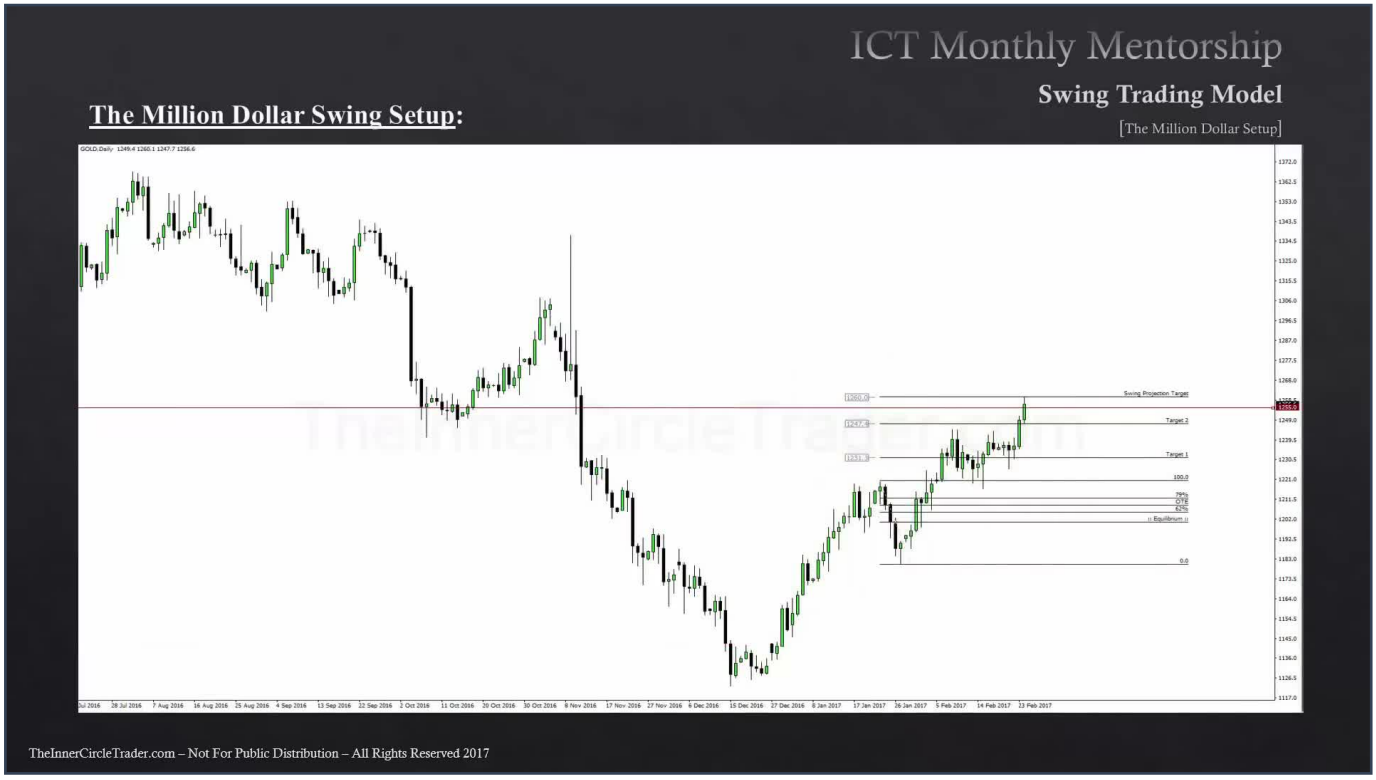

After the initial stop run, price behavior was observed:

- Price retraced, hitting the midway point around 1183 and also an order block (last down candle before the up move) in the 1175-1180 range, forming a daily PD array.

- Fibonacci projections were applied from the swing high down to this new low, using 127% and 162% extensions.

- This projection precisely converged at the 1260 level, demonstrating a strong confluence of Fibonacci, weekly PD arrays, and monthly PD arrays.

EXAMPLE: GOLD - FINAL RUN TO OBJECTIVE AND STOP RUN ANATOMY

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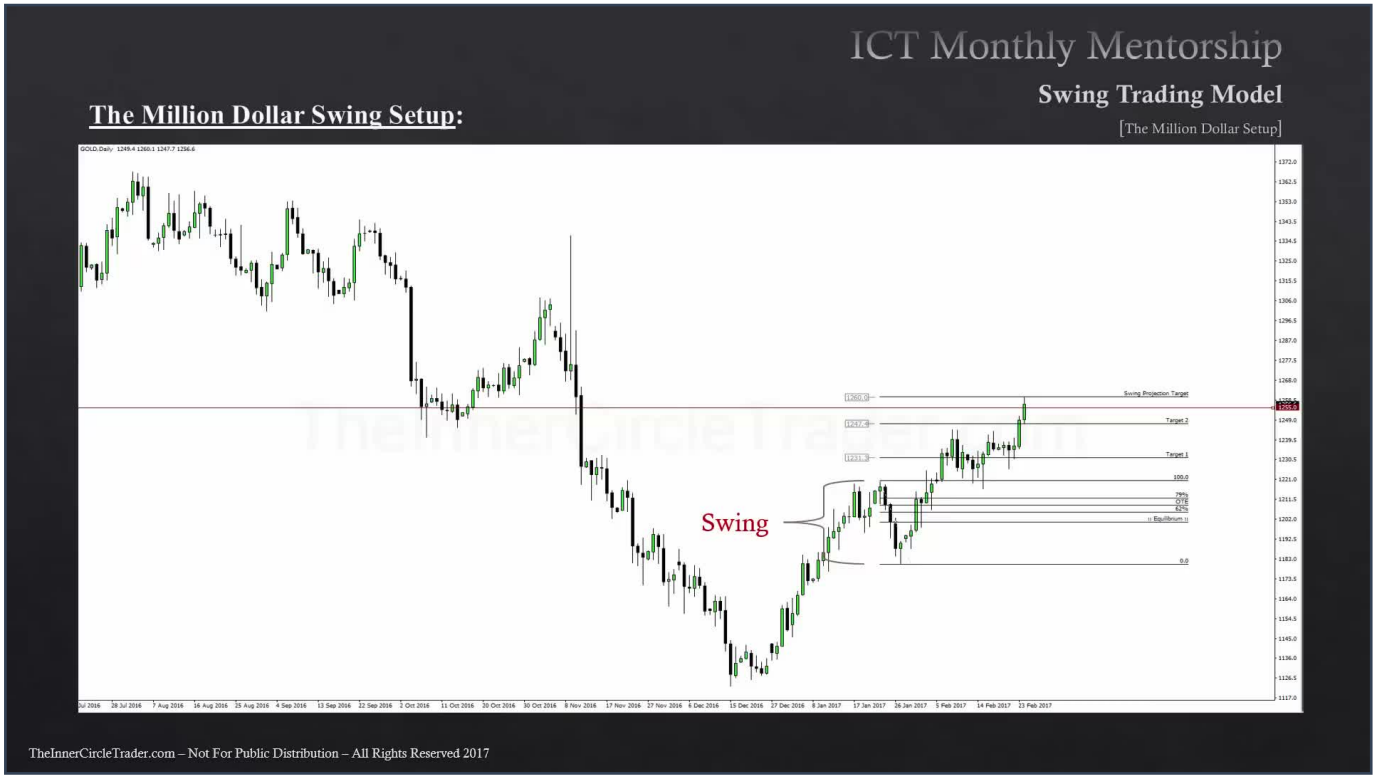

This portion of the swing represents the final leg to the objective:

- After the high formed at the midway point of the overall price swing (around 1220) is taken out, another stop run on the lows is generally not seen until that level is traded through.

- The typical sequence involves a stop run after the midway point is breached, followed by price trading through equilibrium, making another short-term high, retracing to retest the equilibrium high (often the last stop run around 1220), and then a rapid final run to the objective (1260).

- The trade from approximately 1220 up to 1260 yielded 400 points, equivalent to $4,000 per contract. The fractal nature of price swings is also evident in the smaller quadrants of the second leg.

THE MILLION DOLLAR SYSTEM: SYSTEMATIC, PERMISSION-BASED APPROACH

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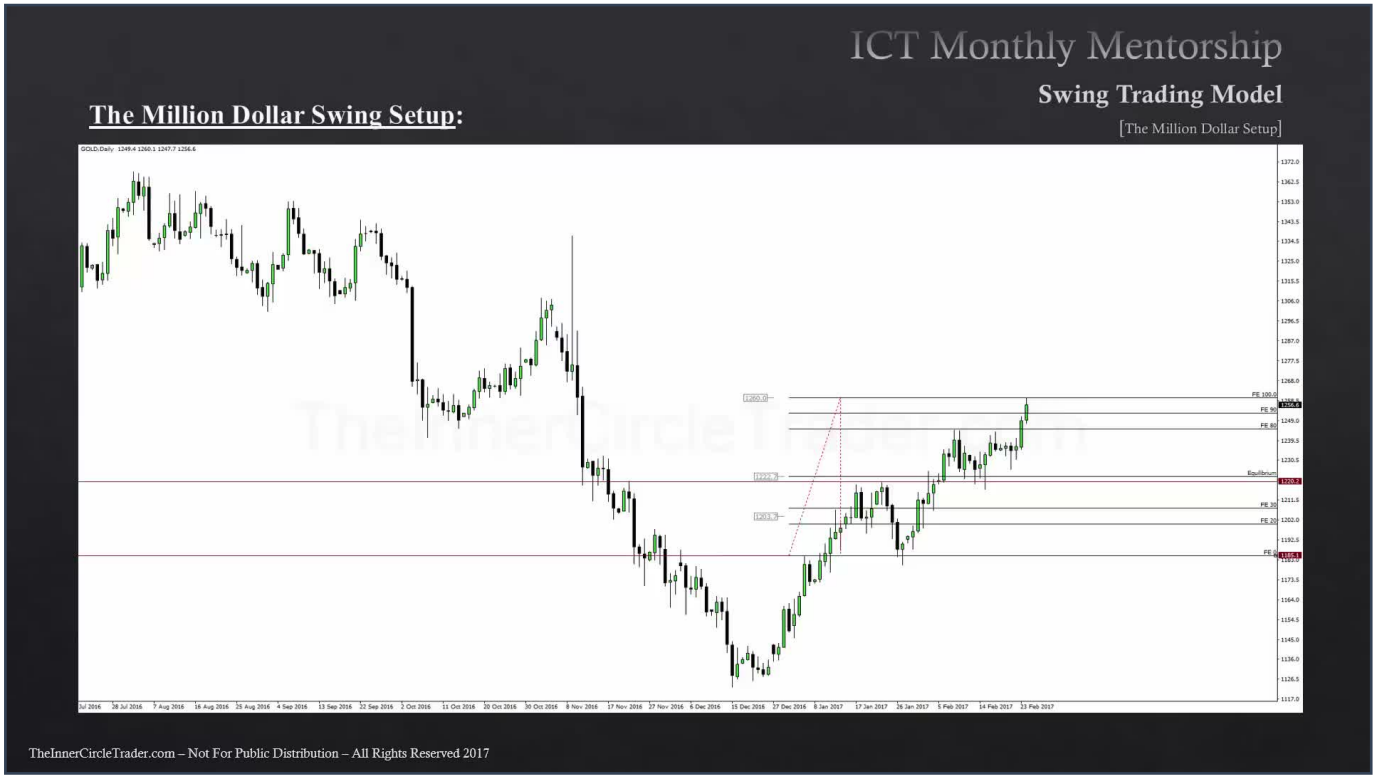
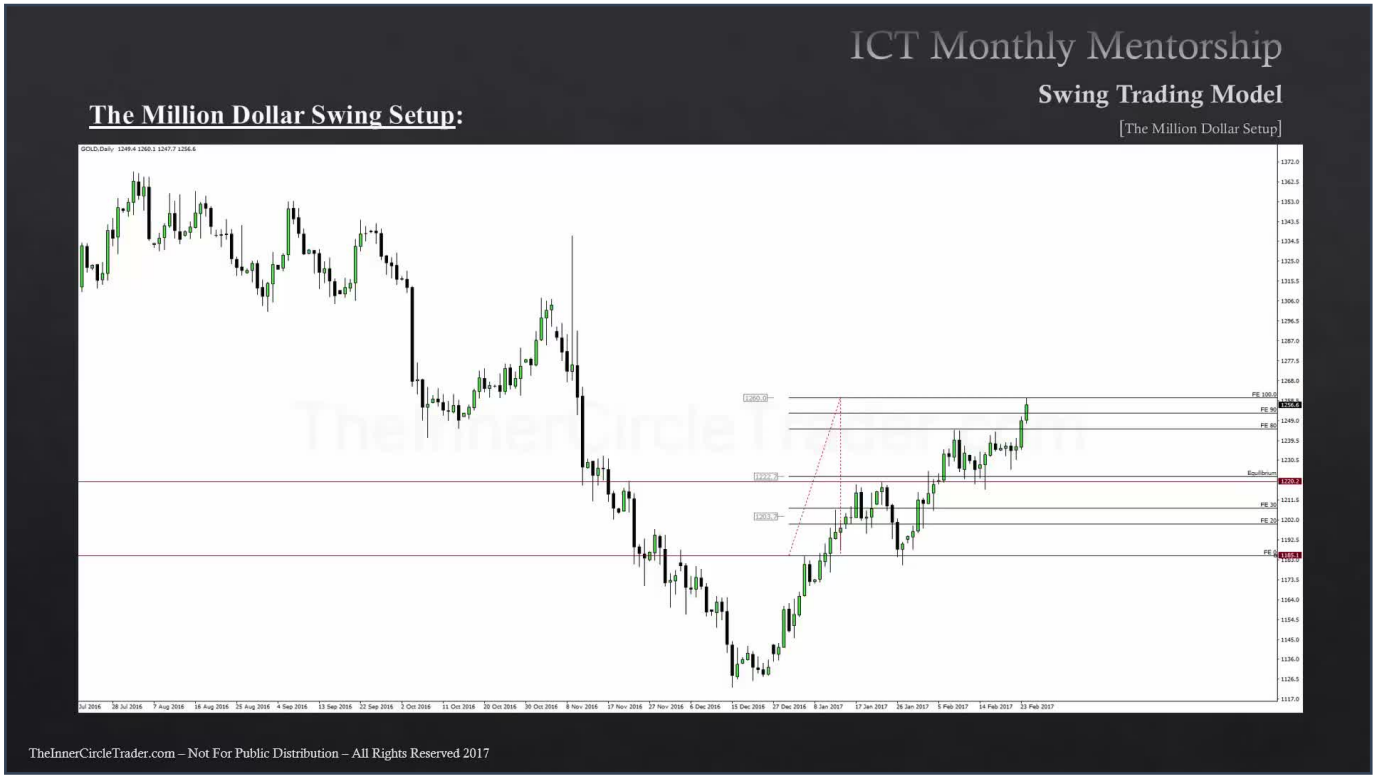


The 'Million Dollar' setup provides a systematic process for analyzing the market.

- It acts as a set of permissions: if conditions are met at one stage, you are given permission to proceed to the next stage of analysis.

- This system dictates precise actions, such as when to adjust stop losses, when to leave them, and specific entry methods (buying/selling on a stop or limit) based on identified PD Arrays.



This model is not a 'plug-and-play' solution; it requires dedicated effort:

- It is crucial to add personal notes, 'Eureka moments', and questions directly onto charts and study notes.

- Understanding the specific conditions for each entry type is paramount (e.g., when to buy on a stop versus selling on a limit based on specific PD Arrays).

- The focus is on anticipating specific price levels, not vague 'zones'.

- Traders must learn to anticipate market behavior, such as breaches of equilibrium price points and subsequent stop runs.

BENEFITS: LIMITING OVERTRADING AND SEASONAL FOCUS

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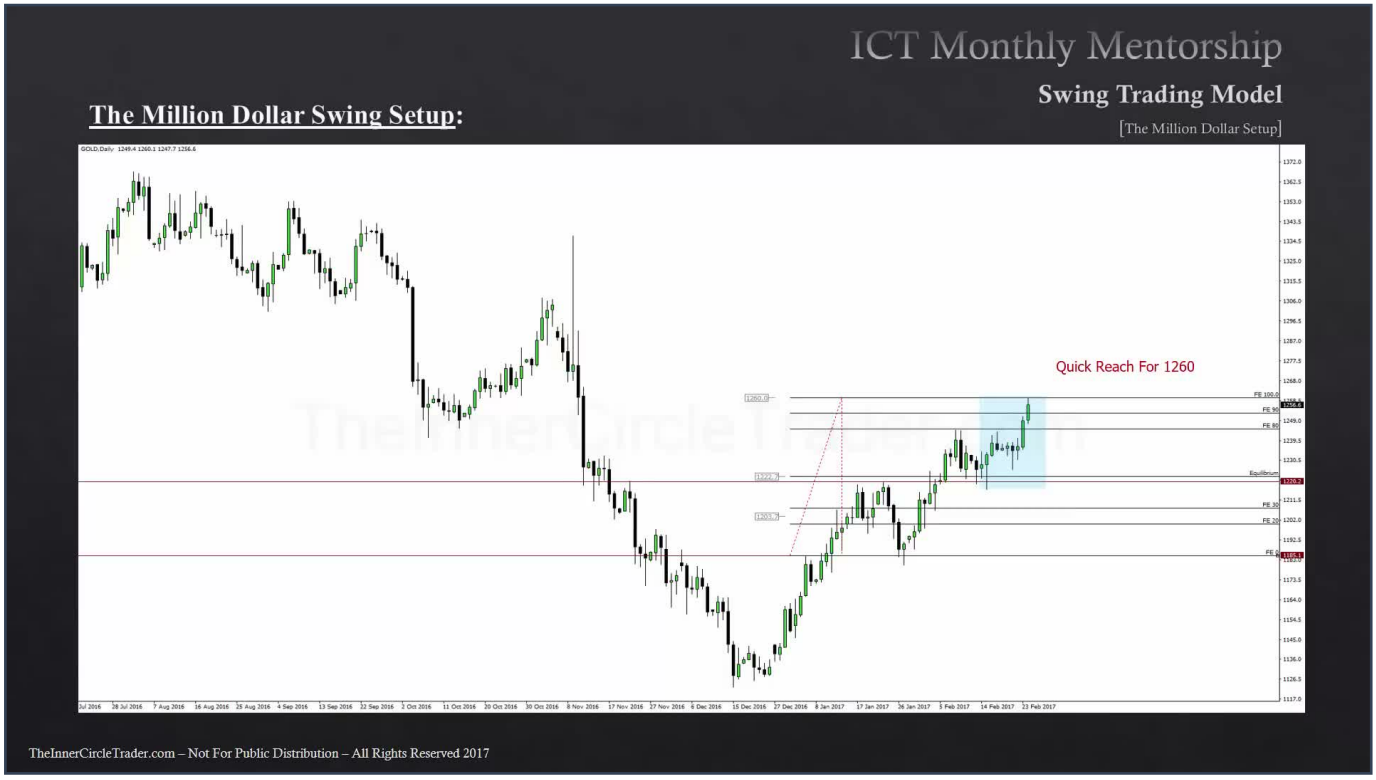
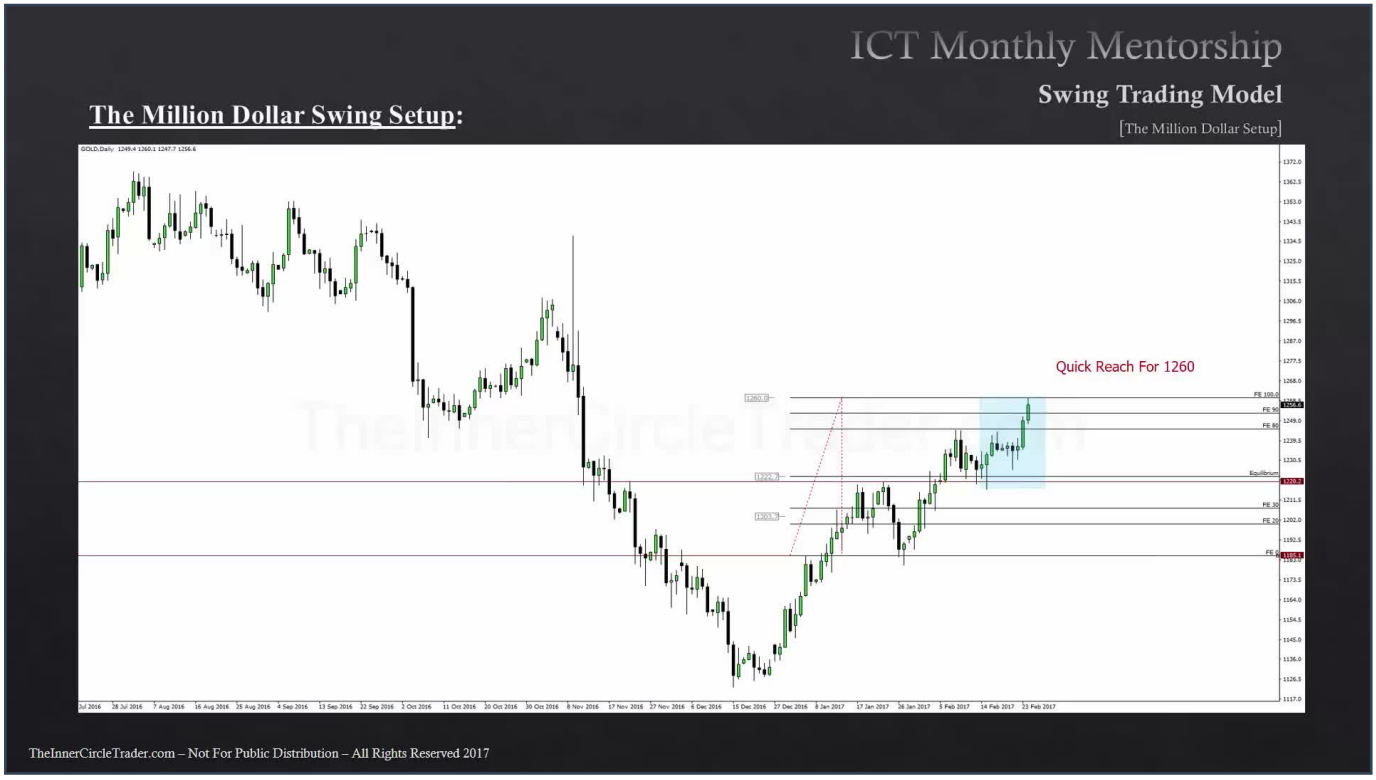


The system offers significant benefits:

- It effectively filters out only the most solid swing trades.

- It limits trades to only those that are seasonally poised to move higher or lower, making overtrading 'literally impossible'.

- ICT primarily focuses on short-term and day trades due to their higher frequency. This swing trading model is ideal for those who cannot engage in more frequent trading, providing a comprehensive, rule-based answer to identifying high-probability opportunities.

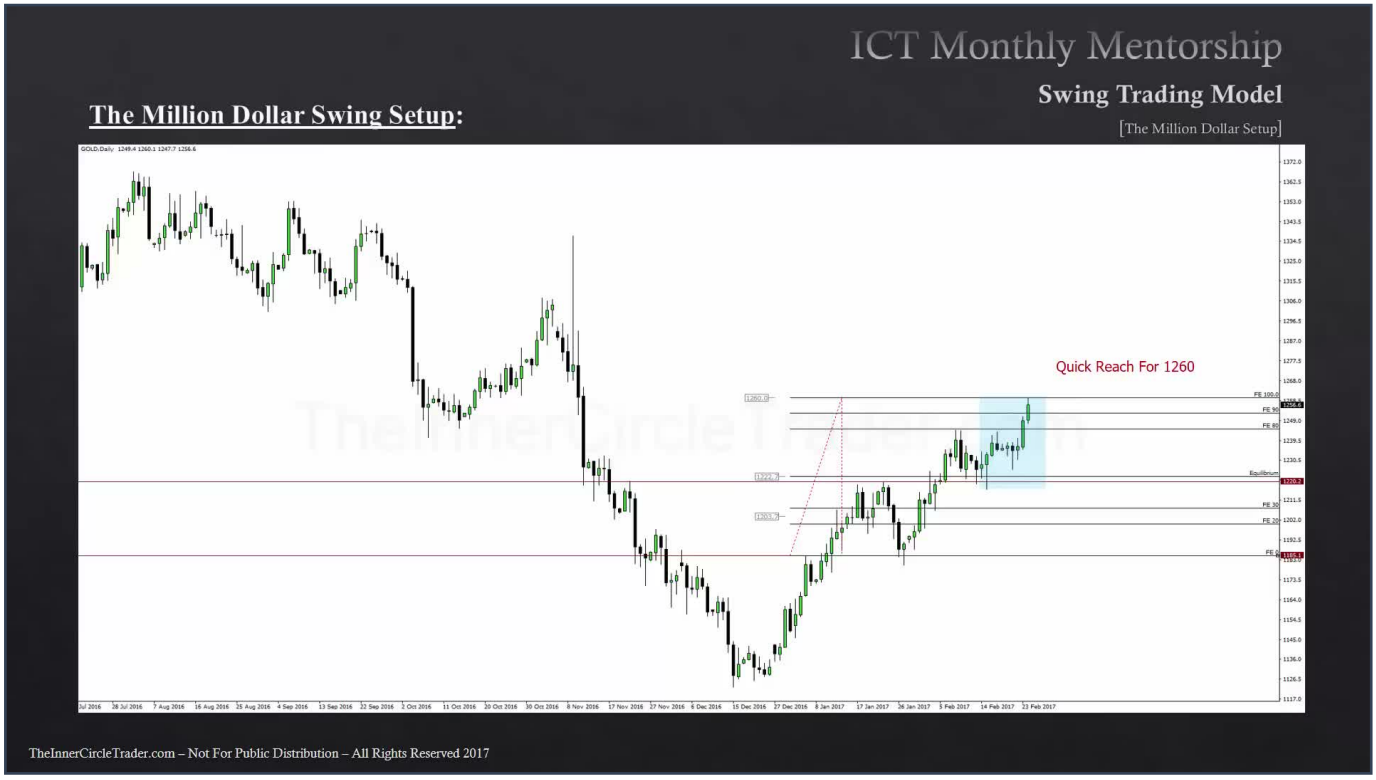


Success with this system hinges on key trader characteristics and a commitment to validation:

- Patience is critical; impatience will lead to failure in trading.

- The system is rule-based, clear-cut, and can be structured as a flowchart or checklist. While not overly technical, it requires a disciplined procedure.

- Verification: Do not simply accept the framework. It is essential to backtest the framework over the last two years to observe how consistently it identifies solid swing trades, both long and short.



With the completion of the swing trading model, future mentorship content will build upon this foundation:

- The model allows for real-time analysis to identify new swing trades.

- Upcoming months will cover short-term trading (March) and day trading (April), with continuous application of position and swing trading concepts. Scalping will follow in May.

- Review: It is imperative to review the content, make personal notes, and understand foundational concepts like SMT Divergence (tutorials are available).

- This model demands critical thinking and decision-making at each analytical stage. If conditions are not met, the appropriate action is to wait for new information, which is the most challenging aspect requiring patience.